

Corporate Portfolio Strategy

A company's value depends greatly, though not entirely, on the actions of its managers. In 2018, colleagues of ours published the results of their global research on 2,393 companies, in which they identified the core drivers that helped some ascend to the top quintile of value creators.¹ These drivers of value included the industry and geography in which the company participated plus five strategic management actions: changing the business portfolio (through programmatic acquisitions and divestitures), allocating resources, spending capital, improving productivity, and innovating to differentiate products and services better.

Applying a management perspective to the science and art of value creation is the focus of the seven chapters that make up Part Four of this book. Specifically, we examine two critical top management decisions: What should executives decide to hold in the company's portfolio of businesses? And how should they allocate resources in support of decisions on capital expenditures, research and development (R&D), talent management, and more? We also explore managing the performance of the company's businesses through target setting, monitoring performance, and taking corrective action where necessary.

We begin in this chapter with the question of what businesses a company should be in, along with two related questions: What constitutes being the best owner of a company, and how might the best owner change over time? The chapter also discusses how a business portfolio evolves and how to manage

¹ C. Bradley, M. Hirt, and S. Smit, *Strategy Beyond the Hockey Stick* (Hoboken, NJ: John Wiley & Sons, 2018).

that portfolio throughout its evolution. We then explore why diversification's role in creating value is often misunderstood. The chapter concludes with a guide to systematic construction of a portfolio of businesses, using a case study of a company that applied the approaches we explain.

BET ON THE HORSE—OR THE JOCKEY?

Deciding what businesses to operate in is clearly one of the most important decisions executives make. As our colleagues' research showed, it is a critical determinant of a company's destiny. For example, a company that produces commodity chemicals is unlikely ever to earn as much return on capital as one that makes branded breakfast cereal can. That said, different owners and managers might be able to extract more or less value from the same business. So creation of the most value requires picking attractive businesses, combined with identifying the owner able to generate the greatest cash flows from each business.

In pointing out the importance of picking the right business, Kaplan, Sensoy, and Strömberg use the analogy of deciding at the racetrack whether to bet on the horse or the jockey.² These researchers analyzed small start-up companies financed by venture capital firms, tracking whether the start-ups eventually grew large and successful enough to go public. They found that it was better to have a competitive advantage (horse) than to have a good management team (jockey). With a competitive advantage, the venture capitalists could always replace a weak management team. But even the best management team might be unable to turn a nag into a sleek thoroughbred—a weak business into a winner. In other words, go with the horse, not the jockey. Warren Buffett made the same point in his own unique way: “When a management team with a reputation for brilliance joins a business with poor fundamental economics, it is the reputation of the business that remains intact.”

Although even great managers may find it impossible to salvage a poor or declining business, for any given business, different owners or management teams may extract higher levels of performance than others can and thus be better owners of that business at that time. For many years, businesses making pharmaceuticals for animals were owned by companies that also made pharmaceuticals for people. Then, from 2009 to 2019, a massive restructuring transformed the animal health business. With different economics, sales, and distribution channels, five of the largest pharmaceutical companies—Bayer, Johnson & Johnson, Novartis, Pfizer, and Sanofi—sold or spun off their animal

² S. N. Kaplan, B. A. Sensoy, and P. Strömberg, “Should Investors Bet on the Jockey or the Horse? Evidence from the Evolution of Firms from Early Business Plans to Public Companies,” *Journal of Finance* 64, no. 1 (February 2009): 75–115.

health businesses. Elanco, a division of Eli Lilly, bought six animal health companies during this period and in 2019 was itself spun off as an independent company. During the same period, many large pharmaceutical companies (including Johnson & Johnson, Merck, and Pfizer) sold off significant parts of their consumer businesses.

A classic example of the better-owner principle is General Mills' 2001 purchase of Pillsbury from Diageo. Shortly after buying Pillsbury for \$10.4 billion, General Mills increased the business's pretax cash flows by more than \$400 million per year, increasing Pillsbury's operating profits by roughly 70 percent. Diageo's core business is in alcoholic beverages, while General Mills and Pillsbury sell packaged foods. Under Diageo, Pillsbury was run entirely separately from Diageo's core business, because the two companies' manufacturing, distribution, and marketing operations rarely overlapped. In contrast, General Mills substantially reduced costs in Pillsbury's purchasing, manufacturing, and distribution, because the two companies' operations duplicated significant costs. On the revenue side, General Mills boosted Pillsbury's revenues by introducing Pillsbury products to schools in the United States, where General Mills already had a strong presence. The synergies worked both ways; for instance, Pillsbury's refrigerated trucks were used to distribute General Mills' new line of refrigerated meals.

Pillsbury represented value in at least two ways at the time of the sale: its value to General Mills and its value to Diageo. For General Mills to consider the deal attractive, Pillsbury's worth under General Mills' ownership had to be greater than the \$10.4 billion purchase price. For Diageo to consider the deal attractive, General Mills' offer had to represent more than the value Diageo expected to create from Pillsbury in the future. From a value-creating perspective, General Mills was a better owner of Pillsbury than Diageo.

In practice, one can never pinpoint a company's ideal owner, but only the best among potential owners in the given circumstances. In the Pillsbury example, it is theoretically possible that some company could have generated even higher cash flows than General Mills as Pillsbury's owner. But the change in ownership to General Mills illustrates that a different owner can make a huge difference in a company's value: a 70 percent increase in this case.

Best ownership also helps the economy by redirecting resources to their highest-value use. Significant activities can be carried out at much lower cost, freeing up capital and human resources for other activities.

WHAT MAKES AN OWNER THE BEST?

To identify the best owner of a business in any given industry circumstances, you must first understand the sources of value that potential new owners might draw upon. Some owners add value by linking a new business with other activities in their portfolio—for example, by using existing sales channels

to access additional customers or by sharing an existing manufacturing infrastructure. Others add value by applying distinctive skills such as operational or marketing excellence, by providing better governance and incentives for the management team, or by having better insight into how a market will develop. Still others add value by more effectively influencing a particular market's critical stakeholders—for instance, governments, regulators, or customers. Let's examine these sources of value one at a time, understanding that in some cases, the best owner may be able to draw on two or more sources at once.

Unique Links with Other Businesses

The most direct way that owners add value is by creating links between businesses within their portfolio, especially when only the parent company can make such links. Suppose a mining company has the rights to develop a coal-field in a remote location far from any rail lines or other infrastructure. Another mining company already operates a coal mine just ten miles away and has built the necessary infrastructure, including the rail line. The second mining company would be a better owner of the new mine because its incremental costs to develop the mine are much lower than anyone else's. It can afford to purchase the undeveloped mine at a higher price than any other firm in the market and still earn an attractive return on invested capital (ROIC).

Such unique links can be made across the value chain, from R&D to manufacturing to distribution to sales. For instance, a large pharmaceutical company with a sales force dedicated to oncology might be the best owner of a small pharmaceutical company with a promising new oncology drug but no sales force.

Distinctive Skills

Better owners may have distinctive functional or managerial skills from which the new business can benefit. Such skills may reside anywhere in the business system, including product development, manufacturing processes, and sales and marketing. But to make a difference, any such skill must be an important driver of success in the industry. For example, a company with great manufacturing skills probably wouldn't be a better owner of a consumer packaged-goods business, because the latter company's manufacturing costs aren't large enough to affect its competitive position.

In consumer packaged goods, distinctive skills in developing and marketing brands are more likely to make one company a better owner than another. Take Procter & Gamble (P&G), which in 2013 had 180 brands, including 23 billion-dollar brands in terms of net sales—almost all of which ranked first or second in their respective markets—and 14 half-billion-dollar brands. Its brands were spread across a range of product categories, including laundry

detergent, beauty products, pet food, and diapers. As of 2013, some brands, including Tide and Crest, had been P&G brands for decades. The company added newer brands to its portfolio in different ways: for example, it acquired Gillette and Oral-B, while it developed Febreze and Swiffer from scratch. In 2014, P&G determined that its distinctive skills were best applied to very large brands. It announced that it would discontinue or divest 90 to 100 of its brands, focusing its energy on the brands that remained.

Another example of distinctive skills is Danaher, a diversified company with revenues of \$19 billion. What makes Danaher successful is its well-known Danaher Business System. Danaher makes acquisitions only where it believes it can apply its management approach to substantially improve margins. By applying this strategy over the past 25 years, Danaher has consistently increased the margins of its acquired companies. These include Gilbarco Veeder-Root, a leader in point-of-sale solutions, and Videojet Technologies, which manufactures coding and marking equipment and software. Both companies' margins improved by more than 700 basis points after Danaher acquired them. As Danaher's activities grew in size and complexity, it also began to divest or spin off some of the businesses that were large enough to stand on their own. For example, in 2016, it spun off its professional instrumentation and industrial technologies businesses. Fortive, the spun-off company, included Gilbarco Veeder-Root and 21 other businesses that Danaher had acquired and whose performance it had improved. Danaher also announced the spin-off of its dental business in 2018 (the spin-off was not yet completed at the time of this writing).

Better Governance

Regardless of whether owners are running day-to-day operations, better owners can add value through their overall governance of a business. They provide better governance through the way they (or their representatives) interact with the management team to create maximum value in the long term. For example, the best private-equity firms don't just recapitalize companies with debt; they improve the companies' performance through better governance.

Two of our colleagues analyzed 60 successful investments by 11 leading private-equity firms. They found that in almost two-thirds of the transactions, the primary source of new value was improvement in the operating performance of the company, relative to peers, through fruitful interaction between the owners and the management team.³ The use of financial leverage and clever timing of investments, often cited as private-equity firms' most important sources of success, were not as important as improved governance.

³ C. Kehoe and J. Heel, "Why Some Private Equity Firms Do Better," *McKinsey Quarterly*, no. 1 (2005): 24–26.

Private-equity firms don't have the time or skills to run their portfolio companies from day to day, but the higher-performing private-equity firms do govern these companies very differently from the way exchange-listed companies are governed. This is a key source of their outperformance. Typically, the private-equity firms introduce a stronger performance culture and make quick management changes when necessary. They encourage managers to abandon any sacred cows, and they give managers leeway to focus on a longer horizon, say five years, rather than the typical one-year horizon for a listed company. Moreover, the boards of private-equity companies spend three times as many days on their roles as do those at public companies. Private-equity firms' boards spend most of their time on strategy and performance management, rather than compliance and risk avoidance, where boards of public companies typically focus.⁴

Better Insight and Foresight

Companies that act on their insight into how a market and industry will evolve to expand existing businesses or develop new ones can be better owners because they capitalize on innovative ideas. One example is Alibaba, China's leading online marketplace. Its leaders realized that lack of trust between buyers and sellers was a barrier to the growth of online marketplaces in China. So in 2004, five years after Alibaba's founding, the company launched Alipay, an escrow service to facilitate online transactions. A buyer deposits money with Alipay for the purchase of goods. Once the goods are shipped and are found acceptable, Alipay releases the funds to the seller. Alipay provides services not only to Alibaba's online businesses but also to thousands of other merchants. In 2011, Alipay was spun off into a stand-alone company.

Or consider Amazon Web Services (AWS). As the largest e-commerce company in the world, Amazon had developed unique skills running distributed computing systems. In 2006, Amazon officially launched AWS and, using its unique skills, sold cloud computing services to companies, governments, and individuals. By 2012, its revenues were estimated to be \$1.8 billion (Amazon didn't disclose AWS's results as a separate unit until 2015). In 2018, AWS generated \$25 billion of revenues and \$7.3 billion of operating profits.

Distinctive Access to Critical Stakeholders

Distinctive access to talent, capital, government, suppliers, and customers primarily benefits companies in some Asian and emerging markets. Several factors complicate running companies in emerging markets: relatively small

⁴ V. Acharya, C. Kehoe, and M. Reyner, "The Voice of Experience: Public versus Private Equity," *McKinsey on Finance* (Spring 2009): 16–20.

pools of managerial talent from which to hire, undeveloped capital markets, and governments that are heavily involved in business as customers, suppliers, and regulators.

In such markets, large-scale diversified conglomerates, such as Tata and Reliance in India and Samsung and Hyundai in South Korea, can be better owners of many businesses because they are more attractive employers, allowing them to skim off the best talent. Regarding capital, many emerging countries still need to build up their infrastructures; such projects typically require large amounts of capital that smaller companies can't raise. Companies also often need government approval to purchase land and to build factories, as well as government assurances that there will be sufficient infrastructure to get products to and from factories and sufficient electricity to keep them operating. Large conglomerates typically have the resources and relationships needed to navigate the maze of government regulations and to ensure relatively smooth operations.

In more developed markets, access to talent and capital is rarely an issue. In fact, in the United States, smaller, high-growth companies are often more attractive to talent than larger companies. Moreover, capital is readily available in these markets, even for small businesses. Finally, with some exceptions, clout with the government rarely provides an advantage, given the arm's-length government procurement processes more common in these countries.

THE BEST-OWNER LIFE CYCLE

The definition of *best owner* isn't static, and best owners themselves will change over time as a business's circumstances change. Thus, a business's best owner could at different times be a larger company, a private-equity firm, a government, a sovereign wealth fund, a family, the business's customers, its employees, or shareholders whenever a business becomes an independent public company listed on a stock exchange.

Furthermore, the parties vying to become best owners are continually evolving in different ways in different parts of the world. In the United States, most large companies are either listed or owned by private-equity funds. They tend to go public earlier than companies elsewhere, so they rarely involve the second generation of a founding family. In Europe, government ownership also plays an important role. In Asia and South America, large companies are often controlled for several generations by members of their founding families, and family relationships also create ownership links between different businesses. Capital markets in these regions aren't as well developed, so founders are more concerned about ensuring that their firms stay true to their legacy after the founders have retired.

Consider an example of how the best owner for a company might change with its circumstances. Naturally, a business's founders will almost always be its first best owners. The founders' entrepreneurial drive, passion, and tangible commitment to the business are essential to getting the company off the ground.

As a business grows, it will probably need more capital, so it may sell a stake to a venture capital fund that specializes in helping new companies to grow. At this point, it's not unusual for the fund to put in new managers who supplant or supplement the founders, bringing skills and experience better suited to managing the complexities and risks of a larger organization.

To provide even more capital, the venture capital firm may take the company public, selling shares to a range of investors and, in the process, enabling itself, the founders, and the managers to realize the value of the company they created. When the company goes public, control shifts to an independent board of directors (though the founders will still have important influence if they continue to own substantial stakes).

As the industry evolves, the company might find that it cannot compete with larger companies because, for instance, it needs distribution capability far beyond what it can build by itself in a reasonable time to challenge global competitors. Other external factors, such as regulatory or technological changes, also can create a need to change owners. In response to this limitation, the company may sell itself to a larger company that has the needed capability. In this way, it becomes a product line or business within a division of a multibusiness corporation. Now the original company will merge with the manufacturing, sales, distribution, and administrative functions of the division.

As the markets mature for the businesses in the division where the original company now operates, its corporate owner may decide to focus on other, faster-growing businesses. So the corporation may sell its division to a private-equity firm. Now that the division stands alone, the private-equity firm can see how it has amassed an amount of central overhead that is far higher than is needed for a slow-growth market. The response: the private-equity firm restructures the division to give it a leaner cost structure. Once the restructuring is done, the private-equity firm sells the division to a large company that specializes in running slow-growth brands.

At each stage of the company's life, each best owner took actions to increase the company's cash flows, thereby adding value. The founder came up with the idea for the business. The venture capital firm provided capital and professional management. Going public provided the early investors with a way to realize the value of the founders' groundwork and raised more cash. The large corporation accelerated the company's growth with a global distribution capability. The private-equity firm restructured the company's division when growth slowed. The company that became the final best owner applied its skills in managing slow-growth brands. All these changes of ownership made sense in terms of creating value.

DYNAMIC PORTFOLIO MANAGEMENT

Applying the best-owner sequence, executives must continually identify and develop or acquire companies where they could be the best owner and must divest businesses where they used to be the best owner but now have less to contribute than another potential owner. Since the best owner for a given business changes with time, a company needs to have a structured, regular corporate strategy process to review and renew its list of development ideas and acquisition targets, and to test whether any of its existing businesses have reached their sell-by date. Similarly, as demand falls off in a mature industry, long-standing companies are likely to have excess capacity. If they don't have the will or ability to shrink assets and people along with capacity, then they're not the best owner of the business anymore. At any time in a business's history, one group of managers may be better equipped to manage the business than another. At moments like these, acquisitions and divestitures are often the best or only way to allocate resources sensibly.

A McKinsey study of 200 large U.S. companies over a ten-year period showed that companies with a passive portfolio approach—those that didn't sell businesses or only sold poor businesses under pressure—underperformed companies with an active portfolio approach.⁵ The best performers systematically divested and acquired companies. The process is natural and never ends. A divested unit may very well pursue further separations later in its lifetime, especially in dynamic industries undergoing rapid growth and technological change.

General Dynamics, the U.S. defense company, provides an interesting example of an active portfolio approach that created considerable value. At the beginning of the 1990s, General Dynamics faced an unattractive industry environment. According to forecasts at that time, U.S. defense spending would decline significantly, and this was expected to hurt General Dynamics, since it was a supplier of weapons systems. When CEO William A. Anders took control in 1991, he initiated a series of divestitures. Revenues were halved in a period of two years, but shareholder returns were extraordinary: an annualized rate of 58 percent between 1991 and 1995, more than double the shareholder returns of General Dynamics' major peers. Then, starting in 1995, Anders began acquiring companies in attractive subsectors. Over the next seven years, General Dynamics' annualized return exceeded 20 percent, again more than double the typical returns in the sector.

For acquisitions, applying the best-owner principle often leads potential acquirers toward targets that are very different from those produced by traditional screening approaches. Traditional approaches often focus on finding

⁵ J. Brandimarte, W. Fallon, and R. McNish, "Trading the Corporate Portfolio," *McKinsey on Finance* (Fall 2001): 1–5.

potential targets that perform well financially and are somehow related to the parent's business lines. But through the best-owner lens, such characteristics might be less important or irrelevant.

Potential acquirers might do better to seek a financially weak company that has great potential for improvement, especially if the acquirer has proven expertise in improving performance. Focusing attention on tangible opportunities to reduce costs or on identifying common customers may be more rewarding in the long run than investigating a target for the vague reason that it is somehow related to your company.

Companies following the best-owner philosophy are as active in divesting as they are in acquiring; they sell and spin off companies regularly and for good reasons. To illustrate, 50 years ago, many pharmaceutical and chemical companies were combined because they required similar manufacturing processes and skills. But as the two industries matured, their research, manufacturing, and other skills diverged considerably, to the extent that they became distant cousins rather than sister companies.

Today the keys to running a commodity chemicals company are scale, operating efficiency, and management of costs and capital expenditures. In contrast, the keys to running a pharmaceutical company are managing an R&D pipeline, a sophisticated sales force, the regulatory approval process, and relations with government in state-run health systems that buy prescription drugs. So while it might once have made sense for the two types of business to share a common owner, it no longer does. This is why nearly all formerly combined chemical-pharmaceutical companies have split up. For instance, the pharmaceutical company Zeneca was split from Imperial Chemical Industries in 1993 and later merged with another pharmaceutical company to form AstraZeneca. Similarly, pharmaceutical company Aventis was split off from the chemical company Hoechst in 1999; it was later purchased by Sanofi Synthelabo to create Sanofi Aventis, forming a bigger pharma-only company.⁶

Dynamic portfolio management has also driven the creation of three of the top four oil-refining companies in the United States, based on refining capacity. Marathon Petroleum, the largest U.S. refiner, was spun off from Marathon Oil in 2011. Phillips 66, the fourth largest, came into being as a spin-off from ConocoPhillips in 2012. Valero Energy, the number-two refiner, was originally spun off from Coastal States Gas in 1980. Valero grew into its ranking through major acquisitions in 2000, 2001, 2005, and 2011. Valero then spun off its gasoline retailing operations in 2013, to become a pure refining company. In 2019, Marathon Petroleum also announced its intention to spin off its retailing operations.

Executives are often concerned that divestitures look like an admission of failure, will make their company smaller, and will reduce their stock market value. Yet the research shows that, on the contrary, the stock market consistently

⁶ In 2011, Sanofi Aventis changed its name to Sanofi.

reacts positively to divestitures, both sales and spin-offs.⁷ Research has also shown that spun-off businesses tend to increase their profit margins by one-third during the three years after the transactions are complete.⁸ Thus, planned divestitures are a sign of successful value creation.

In recent years, prominent companies have decided that shrinking is a good thing. Notably, along with P&G's 2014 announcement that it would discontinue or divest 90 to 100 small brands, the company said it would sell its pet food businesses and spin off its Duracell battery business. This kind of thoughtful shrinking allows disparate businesses to focus on their unique needs and competitive situations.

In another example of purposely shrinking, Kraft in 2012 split into two businesses: Mondelez International and Kraft Foods Group. Mondelez is a global snack-food business selling cookies, crackers, and chocolate. Kraft is a largely North American-only grocery products company, focusing on cheese, meat products, sauces, and coffee. Although both companies are in branded foods, management believed that the challenges and opportunities of the two businesses were different enough that they would be better managed as separate companies.⁹

THE MYTH OF DIVERSIFICATION

A perennial question in corporate strategy is whether companies should hold a diversified portfolio of businesses. The idea seemed to be discredited in the 1970s, yet today some executives still say things like "It's the third leg of the stool that makes a company stable." Our perspective is that diversification is intrinsically neither good nor bad; which one it is depends on whether the parent company adds more value to the businesses it owns than any other potential owner could, making it the best owner of those businesses in the circumstances.

Smoothing Cash Flow Isn't the Key

Over the years, different ideas have been advanced to encourage or justify diversification, but these theories simply don't add up. Most rest on the idea that different businesses have different business cycles, so cash flows at the peak of one business's cycle will offset the lean cash years of other businesses, thereby stabilizing a company's consolidated cash flows. If cash flows and earnings are smoothed in this way, the reasoning goes, then investors will pay higher prices for the company's stock.

⁷ J. Mulherin and A. Boone, "Comparing Acquisitions and Divestitures," *Journal of Corporate Finance* 6 (2000): 117–139.

⁸ P. Cusatis, J. Miles, and J. Woolridge, "Some New Evidence That Spinoffs Create Value," *Journal of Applied Corporate Finance* 7 (1994): 100–107.

⁹ In 2015, Kraft merged with Heinz to form Kraft Heinz Company.

The facts refute this argument. First, we haven't found any evidence that diversified companies actually generate smoother cash flows. We examined the 50 companies from the Standard & Poor's (S&P) 500 index with the lowest earnings volatility from 1997 to 2007. Fewer than ten could be considered diversified companies, in the sense of owning businesses in more than two distinct industries. Second, and just as important, there is no evidence that investors pay higher prices for less volatile companies (see Chapter 7). In our regular analyses of diversified companies for our clients, we almost never find that the value of the sum of a diversified company's business units is substantially different from the market value of the consolidated company.

Another argument is that diversified companies with more stable cash flows can safely take on more debt, thus getting a larger tax benefit from debt. While this may make sense in theory, however, we've never come across diversified companies that systematically used more debt than their peers.

A more nuanced argument is that diversified companies are better positioned to take advantage of different business cycles in different sectors. They can use cash flows from their businesses in sectors at the top of their cycle to invest in businesses in sectors at the bottom of their cycle (when their undiversified competitors cannot). Once again, we haven't found diversified companies that actually behave that way. In fact, we typically find the opposite: the senior executives at diversified companies don't understand their individual business units well enough to have the confidence to invest at the bottom of the cycle, when none of the competitors are investing. Diversified companies tend to respond to opportunities more slowly than less diversified companies.

Elusive Benefits, Real Costs

While any benefits from diversification are elusive, the costs are very real. Investors can diversify their investment portfolios at lower cost than companies can diversify their business portfolios, because they only have to buy and sell stocks, something they can do easily and relatively cheaply many times a year. In contrast, substantially changing the shape of a portfolio of real businesses involves considerable transaction costs and disruption, and it typically takes many years. Moreover, the business units of diversified companies often perform less well than those of more focused peers, partly because of added complexity and bureaucracy.

Today, many executives and boards in developed markets realize how difficult it is to add value to businesses that aren't connected to each other in some way. As a result, many pairings have largely disappeared. In the United States, for example, by the end of 2010, there were only 22 true conglomerates.¹⁰ Since then, five have announced that they would split up or divest major businesses, too.

¹⁰ J. Cyriac, T. Koller, and J. Thomsen, "Testing the Limits of Diversification," *McKinsey Quarterly* (February 2012). Conglomerates were defined as a company with three or more business units that do not have common customers, distribution systems, technologies, or manufacturing facilities.

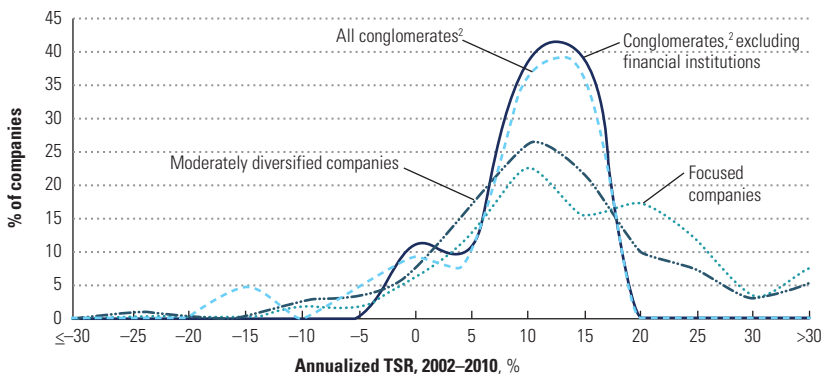
We examined the performance of these conglomerates versus focused companies. The striking insight was not that average total shareholder returns (TSR) was lower for conglomerates, but that the top end of the distribution was chopped off. No conglomerate in our study exceeded a TSR above 20 percent, while the TSR of more focused companies topped out above 30 percent (see Exhibit 28.1). Upside gains are limited for conglomerates because it's unlikely that all of their diverse businesses will outperform at the same time. The returns of units that do are dwarfed by underperformers. Moreover, conglomerates are usually made up of relatively mature businesses, well beyond the point where they would be likely to generate unexpected high returns. But the downside isn't limited, because the performance of more mature businesses can fall a lot further than it can rise. Consider a simple mathematical example: if a business unit accounting for a third of a conglomerate's value earns a 20 percent TSR while other units earn 10 percent, the weighted average will be about 14 percent. But if that unit's TSR is -50 percent, the weighted average TSR will be dragged down to about 2 percent, even before other units are affected. In addition, the poor aggregate performance can affect the motivation of the entire company and the company's reputation with customers, suppliers, and prospective employees.

What Does Matter

What matters in a diversification strategy is whether managers have the skills to add value to businesses in unrelated industries. We found three ways high-performing conglomerates outperform. First, as discussed in greater depth

EXHIBIT 28.1 **Distribution of TSR by Levels of Diversification**

Distribution of S&P 500 companies by total shareholder returns (TSR), $n = 461$ ¹



¹ Includes companies in 2010 S&P 500 that were also publicly listed on December 31, 2002.

² Defined as any company with three or more business units that do not have common customers, distribution systems, manufacturing facilities, or technologies.

in Chapter 31, “Mergers and Acquisitions,” high-performing conglomerates continually rebalance their portfolios by purchasing companies whose performance they can improve.

Second, high-performing conglomerates aggressively manage capital allocation across units at the corporate level. All cash that exceeds what’s needed for operating requirements is transferred to the parent company, which decides how to allocate it across current and new business or investment opportunities, based on their potential for growth and returns on invested capital. Berkshire Hathaway’s business units, for example, are rationalized from a capital standpoint: excess capital is sent where it is most productive, and all investments pay for the capital they use.

Finally, high-performing conglomerates operate in much the same way as better private-equity firms: with a lean corporate center that restricts its involvement in the management of business units to selecting leaders, allocating capital, vetting strategy, setting performance targets, and monitoring performance. Just as important, these firms do not create extensive corporate-wide processes or large shared-service centers. For instance, you won’t find corporate-wide programs to reduce working capital, because that may not be a priority for all parts of the company. At Illinois Tool Works, business units are primarily self-supporting, with broad authority to manage themselves as long as managers adhere to the company’s 80/20 rule (80 percent of a company’s revenue is derived from 20 percent of its customers) and innovation principles. The corporate center largely handles taxes, auditing, investor relations, and some centralized human resources functions.

Conglomerates in Emerging Markets

As mentioned earlier, the economic situation in emerging markets is distinct enough that we are cautious in applying insights gleaned from developed-world companies. Some preliminary, unpublished McKinsey research shows that more diversified companies in emerging markets outperform their less diversified peers. That is not the case in developed markets. While we expect the conglomerate structure to fade away eventually, the pace will vary from country to country and industry to industry.

We can already see the rough contours of change in the role that conglomerates play in emerging markets. Infrastructure and other capital-intensive businesses are likely to be parts of large conglomerates as long as access to capital and connections is important. In contrast, companies that rely less on access to capital and connections tend to focus on opportunities that differ from those of large conglomerates. These companies include export-oriented ones such as those in information technology (IT) services and pharmaceuticals.

The rise of IT services and pharmaceuticals in India and of Internet companies in China shows that the large conglomerates’ edge in access to managerial talent has already fallen. As emerging markets open to more foreign

investors, these companies' advantage in access to capital may also decline. That will leave access to government as their last remaining strength, further restricting their opportunities to industries where its influence remains important. Although the time could be decades away, conglomerates' large size and diversification will eventually become impediments rather than advantages.

CONSTRUCTING THE PORTFOLIO

Executives can apply the principles discussed in this chapter to construct a portfolio of businesses for their company. A typical large company already owns enterprises in a single business or has an existing collection of diverse businesses. While there's no single right way to think through this task, we've found over the past 30 years that a systematic approach to constructing a company's portfolio of businesses is helpful. This section describes that approach.

Assessment of Business Units

The process starts with analyzing the value creation characteristics of each business unit. The following questions can direct the analysis:

- Is the unit in an attractive market—specifically, a market with attractive ROIC and growth opportunities?
- Does the unit have a competitive advantage over peers, as evidenced by higher growth or ROIC? What are the sources of advantage? Are they sustainable?
- Why is the parent company a better owner of the unit? What advantages does it bring?
- Does the unit provide the company with the option of expansion?
- Are there inflection points ahead in the unit's product market (either positive or negative) that affect its value?

In addition, you should evaluate the following secondary factors:

- Does the unit have any risk impact on the rest of the company?
- On a net basis, does the unit provide or consume cash?
- Is the potential to create value large enough to have a meaningful impact on the entire company's value?
- Does the unit consume much more management time than others, relative to its value creation potential?

Once you have conducted these analyses, you could lay them out in summary form, as in Exhibit 28.2.

EXHIBIT 28.2 **Assessment of Business Units: Format with Sample Data**

Primary factor criteria	Unit A	Unit B	Unit C	Unit D	Unit E	Unit F	Unit G
ROIC, 2019, %	14%	33%	17%	12%	13%	22%	10%
Growth, 2019–2023, %	–4%	–4%	2%	4%	14%	7%	2%
ROIC vs. peers, 2019	Above	Above	Comparable	Comparable	n/a	Below	Comparable
Growth vs. peers, 2014–2019	Above	Above	Comparable	Comparable	n/a	Comparable	Comparable
Source of advantages	• Manufacturing process	• Manufacturing process	• Cost leadership • Technology leadership	• Market position	• Stakeholder relationships • R&D/patents	• Product quality • Brand	• None
Corporate value added	• Customer insight • Process excellence • Innovation leadership	• Customer insight • Process excellence • Innovation leadership	• Insights into industry's market • Process excellence • Supply chain expertise	• Process excellence	• Customer insight • Process excellence • Innovation leadership	• Capital to drive market consolidation	• None
Expansion scope	Low	Low	Low: Few other product applications	Low: Highly specialized skills/application	High: Wide range of product applications	Medium: Highly specialized skills/application	Low: Few other product applications
Inflection points	• Currency shifts • Changes in pricing and replacement cycle • Competitor capacity		• New competitor entry	• Product adoption • Regulatory changes	• User-friendly technology applications • New competitor entry	• Channel consolidation • R&D in emerging markets	• Anti-dumping suits • Regional market recovery
Secondary factor criteria							
Risk impact on company	High: Many factors outside control (e.g., currency)	High: Many factors outside control (e.g., currency)	Medium: Risk of new competitors and technologies	Low: Too small	High: Source of future growth; adoption unclear	Low: Too small	High: Market exposure
Cash flows, 2019 FCF, \$ billion	0.90	0.60	–0.10	0.03	–0.20	0.20	0.20
Size, value estimate, \$ billion	6.30	5.70	2.80	1.90	3.00	0.90	2.30
Management time vs. value potential	Adequate	Adequate	Adequate	Adequate	Adequate	Too high	Too high

Scenario Analysis

Next, estimate the value of each business unit under four scenarios:

1. A baseline or momentum DCF value that grows in line with its underlying product markets without any changes in performance relative to peers (which could be supplemented with a multiples valuation relative to peers to see if there is a gap that needs to be closed)
2. A DCF value based on potential or planned operating improvements, for example, by increasing margins, accelerating core revenue growth, and improving capital efficiency
3. Value to alternative owners if the unit were to be divested
4. Value with additional growth opportunities through innovation or acquisitions

We can demonstrate how a real company (we'll call it Hexa Corporation) applied this approach. Hexa is a \$10.65 billion company with six operating businesses. Consumerco, which manufactures and markets branded consumer packaged goods, was earning a high return on invested capital (ROIC), but its growth had barely kept up with inflation. Nevertheless, because of its size and high ROIC, it accounted for about 72 percent of Hexa's total enterprise value. Foodco operates a contract food service business. Its earnings had been growing, but ROIC was low because of high capital-investment requirements in facilities. Woodco, a midsize furniture manufacturer, was formed through the acquisition of eight smaller companies, but their operations were still being consolidated. Woodco had suffered steadily declining returns. The other three businesses in the portfolio are a small newspaper (Newsco), a small property development company (Propco), and a small consumer finance company (Finco).

As shown in Exhibit 28.3, the discounted-cash-flow (DCF) value of Hexa based on a momentum cash flow scenario approximately matched its market value. A cash flow analysis showed that, while Hexa had been generating substantial discretionary (or free) cash flow in the Consumerco business, a large portion of that money had been sunk into Woodco and Foodco, and relatively little was reinvested in Consumerco. Moreover, little of the cash had found its way back to Hexa's shareholders. Over the previous five years, Hexa had, in effect, been borrowing to pay dividends to its shareholders.

The corporate-strategy team analyzed each business unit to find opportunities to improve operations or possibly divest the business. While Consumerco had built strong brand names and most of its product lines had enjoyed

EXHIBIT 28.3 **Hexa Corporation: Current Situation**

	Sales, \$ million	EBITA, \$ million	Revenue growth, %	ROIC, %	DCF value of momentum case, \$ million
Consumerco	6,300	435	3	30	6,345
Foodco	1,500	120	15	9	825
Woodco	2,550	75	19	6	1,800
Newsco	300	45	6	20	600
Propco	—	15	—	—	450
Finco	—	9	—	—	105
Corporate overhead	—	—	—	—	(1,275)
Total	10,650	699			8,850
Debt					(900)
Equity value					7,950
Less: Stock market value					7,200
Value gap					750
% of stock market value					10

a leading market share, this analysis suggested that it had room to increase revenue significantly and earn even higher margins:

- Consumerco had been cutting back on R&D and advertising spending to generate cash for Hexa's efforts to diversify and to buffer poor performance in other parts of Hexa's portfolio. Boosting investments in R&D and advertising would likely lead to higher sales volumes in existing Consumerco products and encourage the introduction of additional high-margin products.
- Despite Consumerco's leading position in its market categories, its prices were lower than for less popular brands. The value created by price increases would more than offset any losses in volume.
- Consumerco's sales force was less than half as productive as sales forces at other companies selling through the same channels. Sales productivity could increase to near the level of Consumerco's peers.
- Consumerco had room to cut costs, particularly in purchasing and inventory management. In fact, the cost of sales could easily be reduced by one percentage point.

When the team factored in these possibilities, it found that Consumerco's value could be increased by at least 37 percent.

Similar analysis of Foodco showed that it was clearly a candidate for divestiture. Foodco's ROIC was less than its cost of capital, so its growth was destroying value. Its industry as a whole was extremely competitive, although a few large players were earning respectable returns. However, even their returns were starting to decline. The Consumerco brand, which Foodco used, was found to be of

little value in building the business, and Foodco would be unable to develop significant scale economies, at least in the near future. To make matters worse, Foodco had a voracious appetite for capital to build facilities but was not generating a return on new investment sufficient to cover the cost of its capital. Last, Foodco was a particularly strong divestiture candidate because a new owner that was a larger, growing competitor could dramatically improve its performance.

Woodco, too, was in a position to improve on its performance dramatically as planned under Hexa's ownership, if it could achieve the same level of performance as other top furniture companies. This would likely require Woodco to focus less on growth and more on higher margins. To do this, Woodco would need to build better management information and control systems and would have to stick to its familiar mass-market products instead of striking out into new upmarket furnishings, as it had planned.

Although this analysis suggested that Woodco also might be sold (for instance, to a company that bought and improved smaller furniture firms), it would make little sense for Hexa to sell Woodco right away, midway through its consolidation, when potential buyers might be concerned that the business could fall apart. If the consolidation succeeded, Hexa could sell Woodco for a much higher price in 12 to 18 months, and Woodco's value could increase as a result by 33 percent.

Newsco and Propco were both subscale and could not attract top talent as part of Hexa. Furthermore, ready buyers existed for both, so divestiture was the clear choice.

The consumer finance sector had become so competitive that the spread between borrowing costs and the rates Finco earned on new loans did not cover the consumer finance company's operating costs. It turned out that the existing loan portfolio might be sold for more than the entire business was worth. In effect, each year's new business was dissipating some of the value inherent in the existing loan portfolio. The team recommended that the board liquidate the portfolio and shut down Finco.

Looking for further internal improvements, the team found that Hexa's corporate staff had grown with the increasing complexity of its portfolio to the point where the business units had been obliged to add staff simply to interact with the corporate staff. By simplifying the portfolio, Hexa would be able to cut corporate costs by 50 percent.

On the revenue side, Hexa had done little to take advantage of Consumerco's strong brands to incubate new businesses. A quick analysis showed that if Hexa could find new growth opportunities that generated \$1.5 billion to \$3 billion in sales, it could increase the market value of Consumerco by \$2.4 billion or more. While restructuring was Hexa's priority, it decided to keep generating new growth ideas as well.

All told, the restructuring could increase Hexa's value by 48 percent without the extra growth initiatives and by as much as 78 percent with successful growth initiatives, although these might be hard to realize. Exhibit 28.4 summarizes Hexa's restructuring plan.

EXHIBIT 28.4 **Hexa Corporation: Value Created through Restructuring**

	DCF value of momentum case, \$ million	New corporate strategy, \$ million	Difference, %	Actions
Consumerco	6,345	8,700	37	Operating improvements
Foodco	825	1,050	27	Divest
Woodco	1,800	2,400	33	Consolidate and divest
Newsco	600	600	—	Divest
Propco	450	480	7	Divest
Finco	105	135	29	Liquidate
Corporate overhead	(1,275)	(675)	n/a	Streamline
Total	8,850	12,690	43	
Debt	(900)	(900)	—	
Equity value	7,950	11,790	48	
New growth opportunities	—	2,400+	—	
Equity value with new growth opportunities	7,950	14,190+	78	

SUMMARY

To construct a portfolio of value-creating businesses, managers should put the question of best ownership front and center in any analysis of a company's current business lineup. If another company would be a better owner for a business, then the business is a candidate for divestment. Conversely, if you identify businesses from which the company could create more value than their present owners can, those businesses are appropriate acquisition targets.

The owner that qualifies as best for a business may change over the course of the business's life cycle and can vary with geography. A company in the United States, for instance, is likely to start up owned by its founders and may end its days in the portfolio of a company that specializes in extracting cash from businesses in declining sectors. In between, the business may have passed through a whole range of owners.

The following chapters build on these ideas to continue our study of how managers can contribute to a company's value. Chapter 29 examines the analytical aspects of resource allocation and performance management; Chapter 30 explores related behavioral and social aspects. Chapters 31 and 32 cover acquisitions and divestitures as tools to change a company's portfolio of businesses. Chapter 33 explains a company's need to have its strategy supported by the right financial underpinnings, including policies for capital structure, dividends, and share repurchases. Finally, Chapter 34 discusses some core principles of communicating with investors.

REVIEW QUESTIONS

1. Explain why the value of a business may differ under different owners.
2. What are the potential sources of value that the best owner brings to a business? Give an example of each.
3. What are some impediments to matching the best potential owner to a business?
4. Provide examples of how the best owner of a business has changed over time. Give reasons for these changes.
5. Explain how and why the best owner of a business might change over time.
6. What are the two main steps involved in constructing a portfolio? Describe key components of each step.
7. Should a company operate a diversified portfolio of businesses? What are the arguments for and against?
8. What are the benefits to society when a business is owned by its best owner?

